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CZECH REPUBLIC

Czech consumer and business sentiment resilient in July

Consumer sentiment softened in July yet remained above its long-term average. Business sentiment hovered around average values despite a marginal uptick. Both indices remain resilient while still below levels associated with better economic times. The mood in industry is not great, with Europe's manufacturing stuck between a rock and a hard place



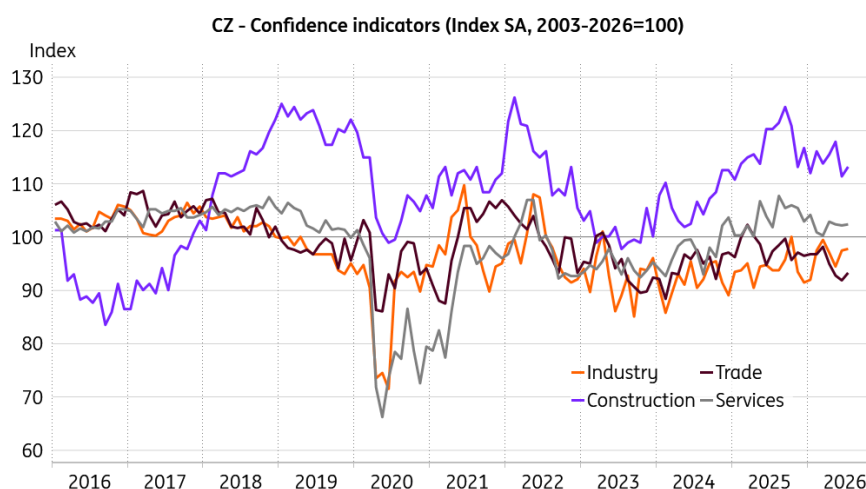
Czech consumer confidence inched down while business sentiment rose in July

Construction and services vs. industry and trade

Czech consumer confidence indicator fell 0.9 points to 105.6 in July, while the business confidence indicator recorded a slight gain of 0.4 points to 100.2. The composite confidence indicator increased marginally to 101.1 in July. Both the consumer and the entrepreneur show quite a decent degree of resilience given the negative supply shock to the global economy as a result of geopolitical turmoil. That's good news, yet both confidence indicators remain well below their levels seen during periods of strong economic growth, such as in 2018. Consumer sentiment came in below market expectations, while July's business mood was slightly better than foreseen.

Confidence among entrepreneurs picked up across sectors, by 1.8 points in construction, 1.4 points in trade, 0.3 points in industry and slightly in services. We see an obvious dichotomy in the economy, with confidence indicators for construction and services floating above their long-term averages, while those for industry and trade are persistently unable to break the long-term average ceiling. The slip in the consumer mood was underlined by future expectations. The share of consumers expecting a deterioration in the economic situation over the next year picked up, while the share of households expecting an improvement in their financial situation over the next year dropped.

Industry and trade unable to break through



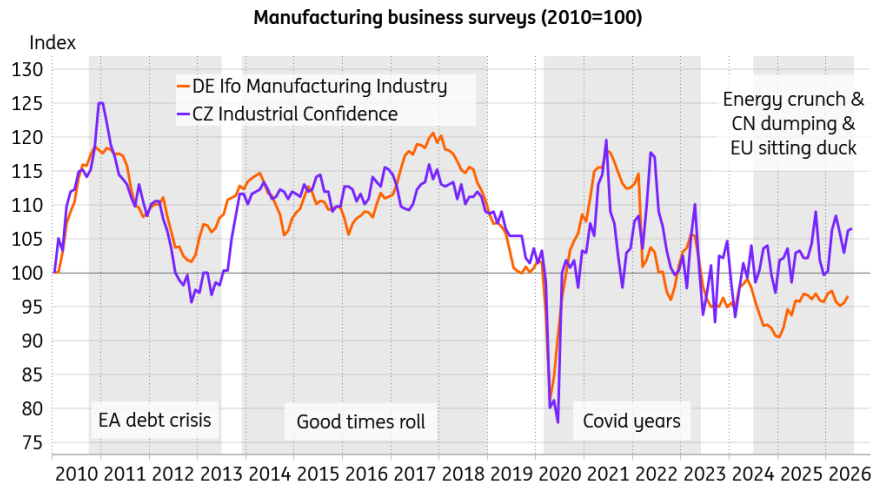
Source: Macrobond

We are particularly concerned about the outlook for European and Czech industry. Manufacturers find themselves caught between a rock of persistently high energy prices and a hard place of rising Chinese import competition. Together, these forces create a toxic cocktail, which may have serious and long-lasting consequences for European manufacturing, economic performance, living standards and social cohesion. Yet Europe is not responding, as measures such as the emissions trading system and the dense regulatory spider web remain largely untouched.

Those who cannot adapt will perish

The thing is that when profitability gets squeezed from all sides for too long, there won't be enough resources left to secure decent wage growth and feed innovation. And yes, when the outlook turns bleak enough and hopes for a turnaround fade, the experienced and innovative workers will start to leave. At this stage, the economy reaches a point of no return and risks losing its place among the ranks of highly developed and innovative nations.

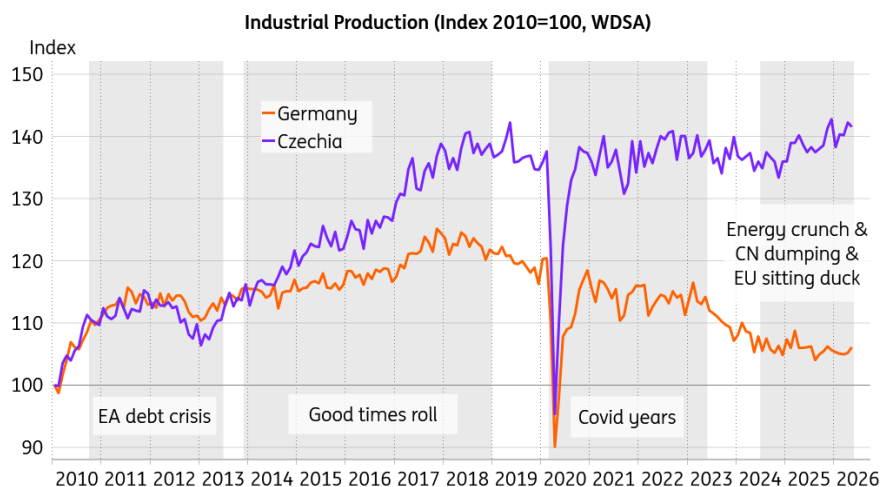
Good times in industry are long gone



Source: Macrobond

Nevertheless, European political leaders seem to be mentally stuck in a world where mutual interdependence is always a good thing, and everyone is a friend at a splendid pool party. There is only one problem: such a world no longer exists; it disappeared into oblivion some eight years ago. Perhaps one could argue that such a world never even existed when viewed through the lens of long-term economic and geopolitical competition. Indeed, Europe is now reaping the bitter harvest of poor strategic decisions, self-centredness, and naivety. The question is whether the EU economy can prosper only under the assumptions of Fukuyama's 'End of History' – a world of ever-deeper integration and diminishing geopolitical tensions – or whether it can adapt to an era in which geopolitics has come roaring back.

Industrial output has rough time since 2019



Source: Macrobond

So far, I am impressed neither by Europe's ability to adapt to the changing environment nor by its willingness to safeguard its economic and social prosperity. Unless policymakers address the pressing structural challenges, any recovery in manufacturing is likely to prove little more than a dead-cat bounce. And yes, the prices of today's cheap Chinese imports will eventually rise once Europe's industrial base has been hollowed out, though carrying European-sounding names, if lucky.

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